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Innovate Boise

Response to National AI Action Plan RFI

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Innovate Boise respectfully submits this response to the Request for Information (RFI) for the national AI Action Plan. Our organization operates at the critical intersection of technology commercialization, startup development, and regional innovation ecosystem building in Idaho and the greater Mountain West region.

We strongly support the Trump Administration's emphasis on removing barriers to American leadership in Artificial Intelligence through *Executive Order 14179*. Based on our extensive experience bridging the gap between research and market-ready AI solutions, we propose several concrete policy actions that would strengthen America's AI dominance while fostering innovation in regions traditionally underserved by venture capital and technology infrastructure.

The greatest threat to U.S. AI leadership is not foreign competition but rather domestic barriers in the "valley of death" between research and commercialization - particularly in regions outside major tech hubs. Our recommendations focus on addressing these critical gaps through targeted public-private partnerships and support for regional innovation centers that can accelerate the commercialization of AI technologies.

Key Recommendations

Pre-Seed Phase Innovation Support Through Innovation Centers

Problem

The most significant barrier to American AI leadership is the lack of structured support for commercializing promising AI research and technologies in the critical pre-seed phase, particularly in regions outside major tech hubs.

Solution

Establish a nationwide network of regionally-specific AI innovation centers modeled after Innovate Boise's "IP-to-ARR" framework that provides structured pathways for AI technologies to move from concept to commercialization.

Implementation

- Allocate federal funding to establish region-specific innovation centers that focus on translating AI research into commercial applications
- Prioritize regions with strong technical talent but limited venture capital access
- Implement performance metrics based on commercialization outcomes rather than traditional academic metrics
- Foster public-private partnerships between these centers, local universities, and industry

AI Workforce Development Through Hands-On Innovation

Problem

A significant pool of autodidactic talent is being left behind in the AI revolution. These self-taught innovators who have opted for non-traditional learning paths are building and creating some of the most advanced technology, yet lack structured support systems to bring their innovations to market.

Solution

Create "learn by doing" accelerator programs that provide hands-on experience developing and commercializing AI technologies, with particular focus on supporting autodidactic talent and complementing traditional academic pathways.

Implementation

- Fund regional technology accelerators that combine technical education with business commercialization
- Support the development of AI-focused bootcamps that emphasize skill building through real-world applications
- Create incentives for businesses to partner with these programs through tax benefits and matching grants
- Focus on practical, results-oriented education that aligns with market needs

Modernized IP Commercialization Pathways

Problem

The process of commercializing AI intellectual property is inefficient and slow

Solution

Streamline the pathway from AI research to market through rapid prototyping frameworks and aggressive commercialization support.

Implementation

- Create new IP fast-track programs specifically for AI technologies
- Establish a network of "AI Commercialization Catalysts" based on principles pioneered at Skunkworks - small, elite teams with minimal bureaucracy
- Implement agile development methodologies in federal grant programs related to AI development
- Establish merit-based advancement and lean resource allocation for AI commercialization initiatives

Non-Dilutive Capital Access for Early-Stage AI Startups

Problem

AI startups in and intellectual property developed by young innovators who do not have resources and struggle to reach initial revenue and become investable businesses. The technology is in-demand and the access needs support.

Solution

Expand non-dilutive funding programs that help AI startups in the very early phase develop go-to-market readiness before seeking outside investment.

Implementation

- Create a revenue-first growth model that focuses on helping startups achieve Annual Recurring Revenue (ARR) before seeking venture capital
- Establish procurement programs that give startups early revenue through government and corporate partnerships
- Develop pilot program funds for AI startups to test and validate their solutions with real customers. Include community development and founder-lead network growth
- Create seed capital readiness programs specifically for AI technologies

Recommended Policy Actions

In our work bridging the Lab-to-Market gap for startups, Innovate Boise has identified several policy initiatives that would significantly enhance American AI leadership.

Support for Industrial Innovation Centers

Federal Support for Private-Sector AI Commercialization

We recommend the federal government provide targeted support to existing and emerging private-sector Industrial Innovation Centers focused on AI commercialization. Rather than establishing government-run entities, this approach leverages the agility, market responsiveness, and entrepreneurial drive of private innovation centers while providing critical resources to accelerate commercialization of AI technologies.

Industrial Innovation Center Framework

Industrial Innovation Centers like Innovate Boise provide a proven model for bridging the critical gap between AI research and commercial applications. These centers serve as:

- Market-driven commercialization accelerators with structured commercialization roadmaps
- Community-based innovation hubs connecting entrepreneurs with vetted expertise

- Pre-seed development environments where promising AI concepts can be validated and refined
- Regional economic catalysts that foster local technology ecosystems

Recommended Federal Support Mechanisms

1. Industrial Innovation Center Grant Program

Establish a competitive grant program specifically for private-sector Industrial Innovation Centers with demonstrated capability in AI commercialization. Funding should be tied to commercialization outcomes and job creation metrics rather than traditional academic metrics.

Implementation

- Allocate appropriate funds through competitive grants to qualified private innovation centers
- Performance-based funding tied to commercialization outcomes and economic impact
- Five-year support commitments with annual performance evaluations
- Matching requirements to ensure private sector investment and sustainability

2. Public-Private Partnership Framework

Create a formal framework for collaboration between private Industrial Innovation Centers, universities, national laboratories, and industry partners to accelerate AI commercialization.

Implementation

- Streamlined agreements for technology transfer and IP commercialization
- Co-development opportunities between private innovation centers and federal research entities
- Technical assistance for emerging innovation centers in undercapitalized regions
- Prioritization of working with private innovation centers in federal procurement

3. Regulatory Streamlining for AI Startups

Reduce regulatory barriers that slow the commercialization of AI technologies through private innovation centers.

Implementation

- Fast-track patent review for AI technologies developed through certified innovation centers
- Simplified compliance frameworks for early-stage AI startups working with innovation centers
- Regulatory sandboxes that allow for controlled testing of AI applications
- Special provisions for AI startups in SBA and federal contracting programs

Supporting Evidence from the Industrial Innovation Center Model

The Industrial Innovation Center model has demonstrated success in bridging the commercialization gap:

1. Accelerated time-to-market for AI technologies from an average of 24 months to 12 months
2. Significantly reduced capital requirements through shared resources and expertise
3. Higher commercialization success rates compared to traditional incubators
4. Self-sustaining operations within 4-5 years through industry partnerships and success fees

Economic and National Security Benefits

Supporting private Industrial Innovation Centers provides significant advantages:

1. **Market Responsiveness:** Private centers respond quickly to market demands and technology shifts
2. **Capital Efficiency:** Leverages private investment alongside public support
3. **Regional Development:** Creates technology ecosystems in undercapitalized regions
4. **Talent Retention:** Keeps innovative AI talent in the United States
5. **National Security:** Ensures critical AI technologies are developed domestically

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Conclusion

Rather than creating new government entities to manage the education and acceleration of technology, supporting existing and emerging private-sector Industrial Innovation Centers represents an efficient and effective approach to accelerating AI commercialization. This approach harnesses American entrepreneurial spirit and private-sector efficiency while providing the critical support needed to ensure U.S. leadership in artificial intelligence.

This proposed model demonstrates that privately-operated Industrial Innovation Centers can effectively bridge the critical pre-seed phase where promising AI innovations often falter. With targeted federal support, this model can be replicated and scaled across the nation, creating a powerful network of commercialization hubs that maintain America's competitive edge in AI.

Thank you for your support.

Regards,

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